

Plaintiff's motion for summary adjudication is **denied**.

Evidentiary Objections

Neither party made any evidentiary objections.

9. 9:00 AM CASE NUMBER: C25-00514

CASE NAME: ARACELI CALDERON VS. MARIE VALENCIA

*HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL RE: VREJ V. GARABEDIAN

FILED BY: VALENCIA, ENRIQUE

TENTATIVE RULING:

Defendants' former counsel, Vrej Garabeian's Motion to be Relieved as Counsel for Defendants Enrique and Marie Valencia, filed on September 10, 2025, is **moot**. A Substitution of Attorney form was filed on September 22, 2025, wherein Defendants agreed to become self-represented litigants. No appearance is required at the hearing on January 7, 2026.

10. 9:00 AM CASE NUMBER: C25-00842

CASE NAME: CHRIS CARVALHO VS. POWIS PARKER, INC.

HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT

FILED BY: POWIS PARKER, INC.

TENTATIVE RULING:

Before the Court is a demurrer to Plaintiff's first amended complaint. For the reasons set forth, the demurrer is **sustained**, and the case is **dismissed without prejudice**.

Background

Plaintiff alleges he is the assignee for collection of claims of the law firm Gagen, McCoy, McMahon, Koss, Markowitz & Fanucci, a professional corporation ("Assignor") against defendant Powis Parker, Inc. (First Am. Compl. ("FAC") ¶¶ 1, 2.) Plaintiff alleges Powis owes approximately \$62,000 for legal services rendered by the Assignor. Plaintiff asserts four common counts for recovery of the fees in the FAC.

Legal Standards for Ruling on A Demurrer

In ruling on a demurrer, the Court must accept as true all well-pled factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.) In determining whether the complaint states a claim for relief, the Court gives the complaint "a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) The Court also considers matters of which the Court can properly take judicial notice. (*Carloss, supra*, 242 Cal.App.4th at 123; *Evans, supra*, 38 Cal.4th at 6.)

Kane Declaration, Request for Judicial Notice, and Plaintiff's Evidentiary Objections Thereto

Plaintiff objects to the Kane Declaration and Defendant's asking the Court to take judicial notice of the exhibits attached to the Kane Declaration in support of the demurrer. The notice of the demurrer

states it is supported by the Kane Declaration "and the Request for Judicial Notice," but Defendant did not file a request for judicial notice in support of the demurrer. The notice of demurrer and demurrers and the memorandum of points and authorities in support of the demurrer do not specify the documents subject to judicial notice and the legal basis for the Court to take judicial notice. (See Code Civ. Proc. § 430.70 ["When the ground of demurrer is based on a matter of which the court may take judicial notice pursuant to Section 452 or 453 of the Evidence Code, such matter shall be specified in the demurrer, or in the supporting points and authorities for the purpose of invoking such notice, except as the court may otherwise permit." (Emphasis added.)].)

Though Defendant failed to comply with the foregoing authorities, the Kane Declaration clearly sets forth the documents of which Powis requests judicial notice and the legal basis for the request. As to the pleadings filed in prior actions, the docket of the federal action in Florida in which the Assignor represented Powis, and the pleading and order filed in the Florida federal action (Kane Decl. Exhs. A-F), the Court **denies** the request for judicial notice of those documents as they are irrelevant to the determination of the demurrer. (*StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice of pleadings extends to the fact of the filings but not the truth or interpretation of the content of the filings to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-115 [same]; *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6 [judicial notice denied where "the requests present no issue for which judicial notice of these items is necessary, helpful, or relevant"].)

The Court also **denies** the request for judicial notice of Exhibit H as not a proper subject of judicial notice in ruling on a demurrer, with one exception. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) The Court **grants** the request for judicial notice of the "Notice of Client's Right to Arbitrate" ("Arbitration Notice") attached as part of the Kane Declaration Exhibit H because Plaintiff has admitted that the Arbitration Notice is not subject to any genuine dispute under Evidence Code section 452(h). Plaintiff himself has quoted the text of the notice at length in the opposition to the demurrer and has admitted that the Arbitration Notice was the notice Defendant received. (Opp. to Dem. p. 3, l. 22- p. 5, l. 19.) The Court also grants the request for judicial notice of Exhibit G, the State Bar form notice of the client's right to arbitrate fee disputes as not subject to reasonable dispute and implicitly admitted by Plaintiff's position on the Arbitration Notice. (Evid. Code § 452(h).)

As to Plaintiff's Evidentiary Objections to the Kane Declaration, the Court does not consider evidence in ruling on a demurrer except matters subject to judicial notice. Based on the Court's rulings on Defendant's request for judicial notice of Exhibits A through F above, the Court **sustains** Objection Nos. 1 and 2. As to Objection No. 3, the Court **overrules** the objection to the extent it addresses the Arbitration Notice attached as part of Exhibit H based on Plaintiff's admission as to the genuineness of that notice and that the Arbitration Notice was the notice Defendant received. (Opp. to Dem. p. 3, l. 22- p. 5, l. 19.)

Analysis

Powis makes a general demurrer to the FAC in its entirety on two grounds; first, that Plaintiff failed to provide the proper notice to Powis of its right to have the dispute over the fees submitted to nonbinding arbitration pursuant to the Mandatory Fee Arbitration Act ("MFAA"), and second, that Plaintiff is a non-attorney who cannot be an assignee for collection of the debt for attorneys' fees

owed to the Assignor firm by its former client. Defendant also requests that the Court dismiss the FAC based on the Assignor's failure to comply with the MFAA as stated. (Dem. p. 2, ll. 10-11.)

A. Mandatory Fee Arbitration

The MFAA, Business & Professions Code section 6200 *et seq.*, provides that arbitration "shall be voluntary for a client and shall be mandatory for an attorney if commenced by a client." (Bus. & Prof. Code § 6200(c).) Section 6201 of the Business & Professions Code states in pertinent part:

The rules adopted by the board of trustees shall provide that an attorney shall forward a written notice to the client prior to or at the time of service of summons or claim in an action against the client, or prior to or at the commencement of any other proceeding against the client under a contract between attorney and client which provides for an alternative to arbitration under this article, for recovery of fees, costs, or both. The written notice shall be in the form that the board of trustees prescribes, and shall include a statement of the client's right to arbitration under this article. Failure to give this notice shall be a ground for the dismissal of the action or other proceeding. . . .

The rules adopted by the board of trustees shall provide that the client's failure to request arbitration within 30 days after receipt of notice from the attorney shall be deemed a waiver of the client's right to arbitration under the provisions of this article.

(Bus. & Prof. Code § 6201(a) [emphasis added].)

Rule 3.501 of the Rules of the State Bar provides:

(A) California law entitles a client to arbitration of a dispute regarding an attorney's fees for legal services. If initiated by a client, fee arbitration is mandatory for an attorney. Fee arbitration is voluntary for a client unless the parties have agreed in writing to submit their fee disputes to mandatory fee arbitration.

(B) An attorney must provide the client with the mandatory State Bar Notice of Client's Right to Fee Arbitration form before or at the time of

(1) service of summons in a lawsuit against the client for fees; or

(2) commencing any other proceeding against the client for fees under a contract that provides for an alternative to mandatory fee arbitration.

(C) Failure to provide the notice is grounds for dismissal of the

lawsuit or other proceeding.

Rule 3.502 of the Rules of the State Bar sets forth the manner in which a client may waive the right to compel the attorney to nonbinding arbitration of the fee dispute:

(A) A client's right to request or maintain fee arbitration is waived if

(1) a complete State Bar Request for Arbitration has not been received by the State Bar within thirty days of the client's receipt of the State Bar Notice of Client's Right to Fee Arbitration;

(2) the client commences a legal action or files a pleading seeking either of the following:

(a) judicial resolution of a fee dispute subject to arbitration;

or

(b) affirmative relief against an attorney for alleged malpractice or professional misconduct; or

(3) the client receives a State Bar Notice of Client's Right to Fee Arbitration but does either of the following before submitting a State Bar Request for Arbitration:

(a) answers or otherwise responds to a complaint filed in court by the attorney; or

(b) files a response in another proceeding regarding fees initiated by the attorney.

(Rules of the State Bar, Rule 3.502(A)(1), (2) and (3) [emphasis added].)

The State Bar form itself reinforces that use of the State Bar form is required. (RJN Ex. G ["**Mandatory** State Bar Approved Form Rev. March 2013" (emphasis added)].) Plaintiff's opposition does not address the provisions of Business and Professions Code and Rules of the State Bar, in particular the portions of these authorities that mandate use of the State Bar form notice.

1. Waiver of Mandatory Fee Arbitration Requires Use of the State Bar Form

Plaintiff argues that the notice he used is less confusing than the mandatory State Bar form. Plaintiff, however, cites no authority that makes use of the State Bar mandatory notice form optional where a particular county bar association does not conduct fee arbitrations. The language of Business & Professions Code section 6201(a), State Bar Rules 3.501 and 3.502, and the form itself is clear that the form is mandatory, and service of the State Bar form on the client is the event that triggers the client's waiver of the right to compel the attorney to nonbinding fee arbitration if the client fails to demand arbitration within 30 days of receipt of the State Bar form notice. Powis has demanded arbitration in its demurrer, and in any event, Plaintiff concedes Powis did not receive a State Bar form notice which is the event that would trigger a waiver by responding to a complaint in court under Rule 3.502(A)(3), so the event that would trigger the waiver (the client's receipt of the State Bar Notice of Client's Right to Fee Arbitration) has not occurred. As a result, based on Plaintiff's admissions in opposition to the demurrer that the Assignor did not serve the State Bar form but the

Assignor's own form of notice, Defendant Powis has not waived its right to compel the Assignor to nonbinding fee arbitration.

2. Dismissal or Stay of Action

Business and Professions Code section 6201(a) by its terms requires an attorney to serve the mandated State Bar form either prior to or at the time the summons and complaint are served, which Plaintiff concedes did not occur here. Defendant has requested dismissal of the action or alternatively, that the action be stayed pending nonbinding arbitration of the fee dispute under the MFAA. Business and Professions Code section 6201 and Rule 3.501 of the State Bar Rules make the attorney's failure to provide the State Bar mandatory notice of the client's right to arbitrate a ground for the Court to dismiss the FAC.

Case law has construed the MFAA provisions as giving the Court discretion whether to dismiss the action. (*See Richard, Watson & Gershon v. King* (1995) 39 Cal.App.4th 1176, 1179 [dismissal under § 6201 is discretionary, not mandatory, and was not warranted in that case where sophisticated client knew it had the right to arbitrate despite the lack of notice]; *Wager v. Mirzayance* (1998) 67 Cal.App.4th 1187, 1191 [trial court had discretion not to dismiss but properly exercised discretion to dismiss complaint in the absence of required notice to client of right to arbitrate]; *Law Offices of Dixon R. Howell v. Valley* (2005) 129 Cal.App.4th 1076, 1087-1088, 1090-1091 [reversing trial court order of dismissal, holding trial court abused its discretion by concluding dismissal for failure to provide the notice required by Business and Professions Code section § 6201(a) was mandatory and required as a matter of law rather than subject to the trial court's discretion].)

While it is not clear to the Court that the notice requirement of Business and Professions Code section 6201(a) is necessarily an essential element of any cause of action of the FAC, it is a prerequisite to pursuing the claim in Court that, if not fulfilled, in the Court's discretion may warrant dismissal of the action. Under the circumstances, and pursuant to the applicable statute, rules, and case law, the Court finds dismissal of the action, without prejudice, is warranted as permitted under Business and Professions Code section 6201(a) and State Bar Rule 3.501(C) in the exercise of the Court's discretion.

11. 9:00 AM CASE NUMBER: C25-00842

CASE NAME: CHRIS CARVALHO VS. POWIS PARKER, INC.

***HEARING ON MOTION IN RE: STRIKE PORTIONS OF THE 1ST AMENDED COMPLAINT**

FILED BY: POWIS PARKER, INC.

TENTATIVE RULING:

Before the Court is a motion to strike portions of Plaintiff's first amended complaint and to dismiss action, or alternatively, refer the matter to State Bar non-binding fee arbitration. Based on the Court's concurrent ruling on Defendant's demurrer, the motion is **denied, without prejudice** to renewing the motion with respect to any complaint Plaintiff may re-file.